

**Time:** 5 minutes**Outcome:** Evaluate Oligopoly Welfare, Mergers & Antitrust Tradeoffs.**Difficulty:** ●●● Advanced

Oligopoly Welfare, Mergers & Antitrust Tradeoffs



THE CORE IDEA

Merger policy weighs reduced rivalry against verifiable efficiencies, innovation, entry, and consumer effects. Reduced competition can raise prices, restrict output, and create deadweight loss. Concentration is evidence about market structure, not a complete welfare verdict.



HOW TO RECOGNIZE IT

- A sound evaluation combines structure, strategic conduct, efficiency claims, and market responses.
- The core welfare concern is reduced rivalry that raises prices, restricts output, and can create deadweight loss.
- A concentrated industry has high prices, strong product innovation, and frequent entry by niche rivals.
- A student sees several firms charge the same price and immediately labels the behavior collusion.
- A merger creates a larger research budget but also reduces head-to-head price competition.



WATCH OUT

Higher profit is not the same as deadweight loss. A transfer from consumers to firms differs from surplus lost when beneficial trades disappear. Evaluate entry, efficiencies, and likely price and output effects.



WORKED EXAMPLE: WEIGHING MERGER EFFECTS

A merger raises market concentration and may increase market power. Suppose it also cuts marginal cost by \$4 per unit and entry remains easy. Compare the likely effects of reduced rivalry with the verifiable cost reduction and entry evidence before judging the merger.



CHECK YOURSELF

Does higher post-merger concentration alone settle the welfare question?

**READY?**

Return to the game and master this concept.